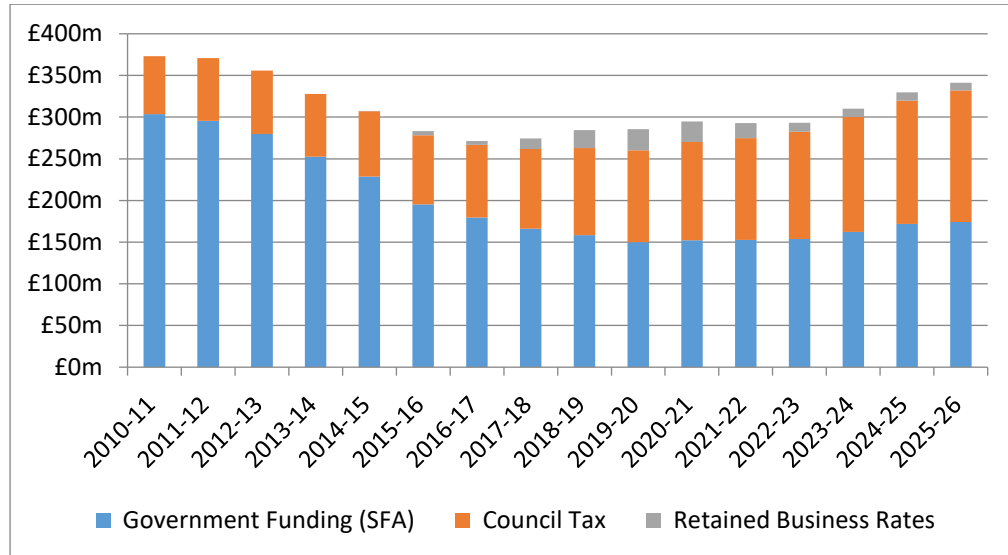


Budget Contextual Information

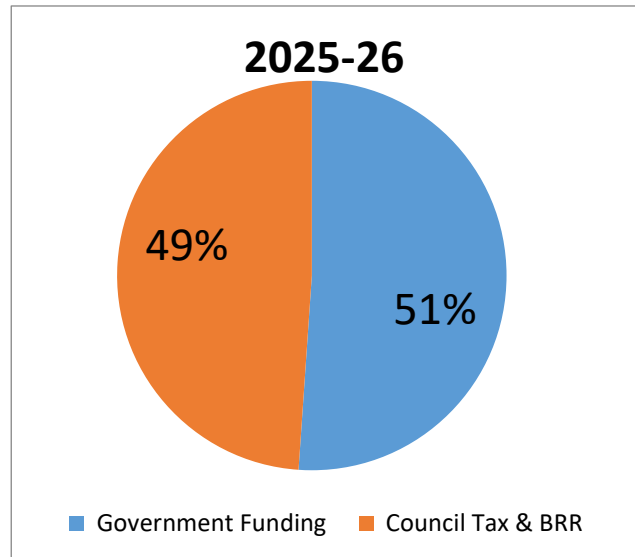
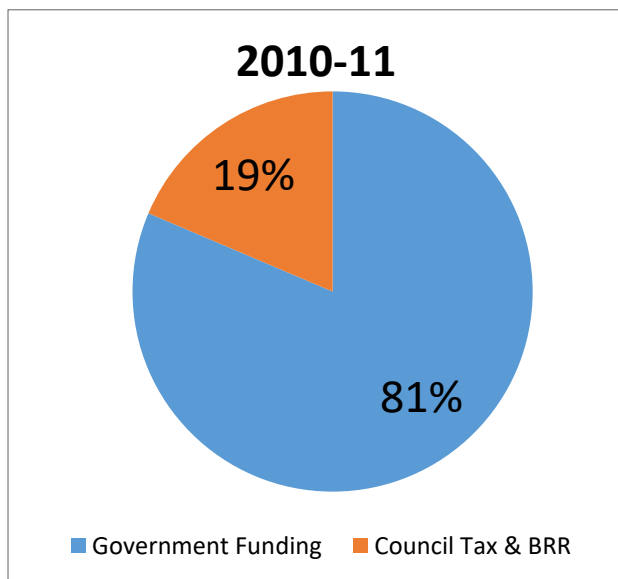
Funding Trend 2010-11 to 2025-26

The Budget Requirement is the amount of expenditure that is funded by general support from central government, council tax and retained business rate growth. The following graph shows how the Budget Requirement has changed over the period 2010-11 to 2025-26.

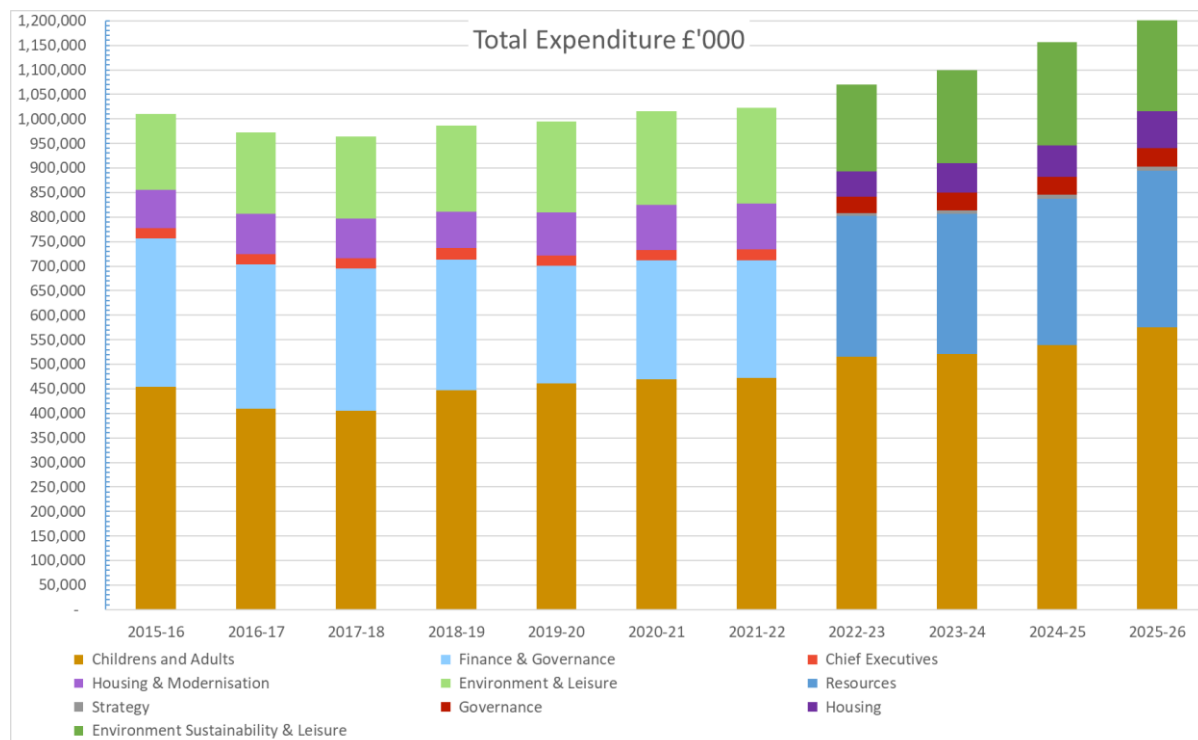


Key Messages

- Total general funding has decreased from £373m in 2010-11 to £341m in 2025-26, a reduction of £32m.
- Locally generated receipts (council tax and retained business rate growth) have increased over the same period by £97.5m highlighting the increased reliance on locally generated income.



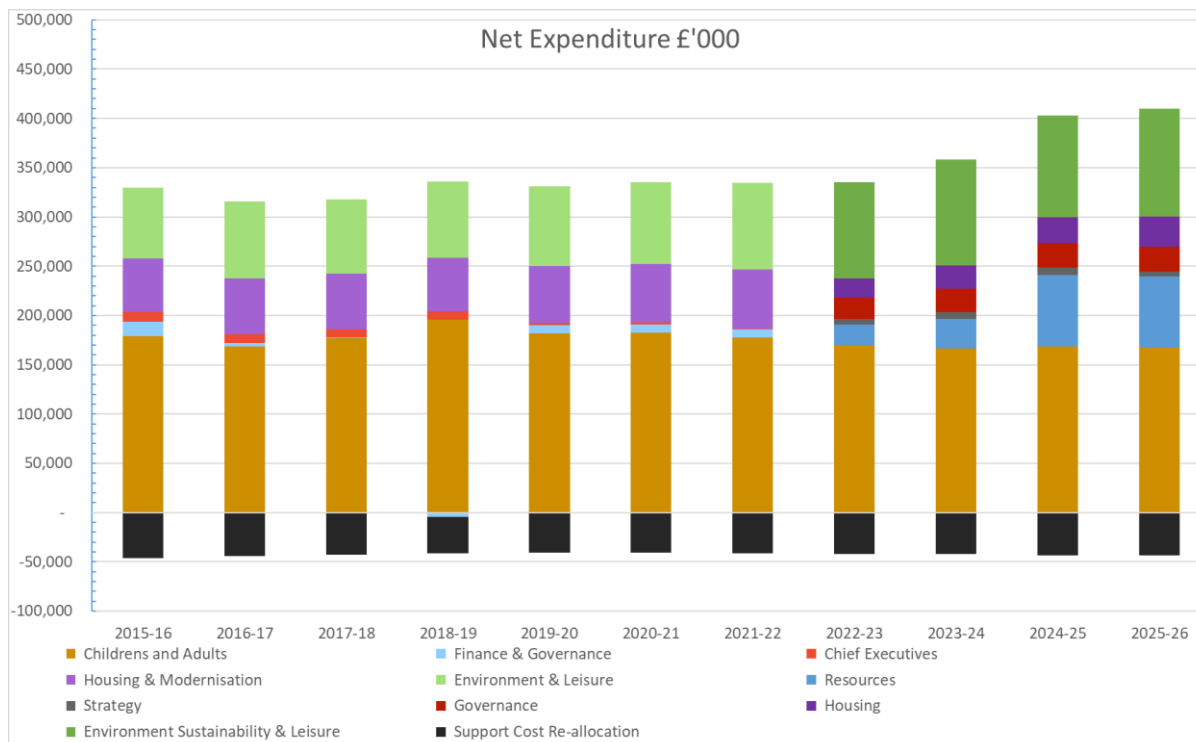
COMPARISON OF SOUTHWARK COUNCIL REVENUE BUDGETS OVER A 10 YEAR PERIOD



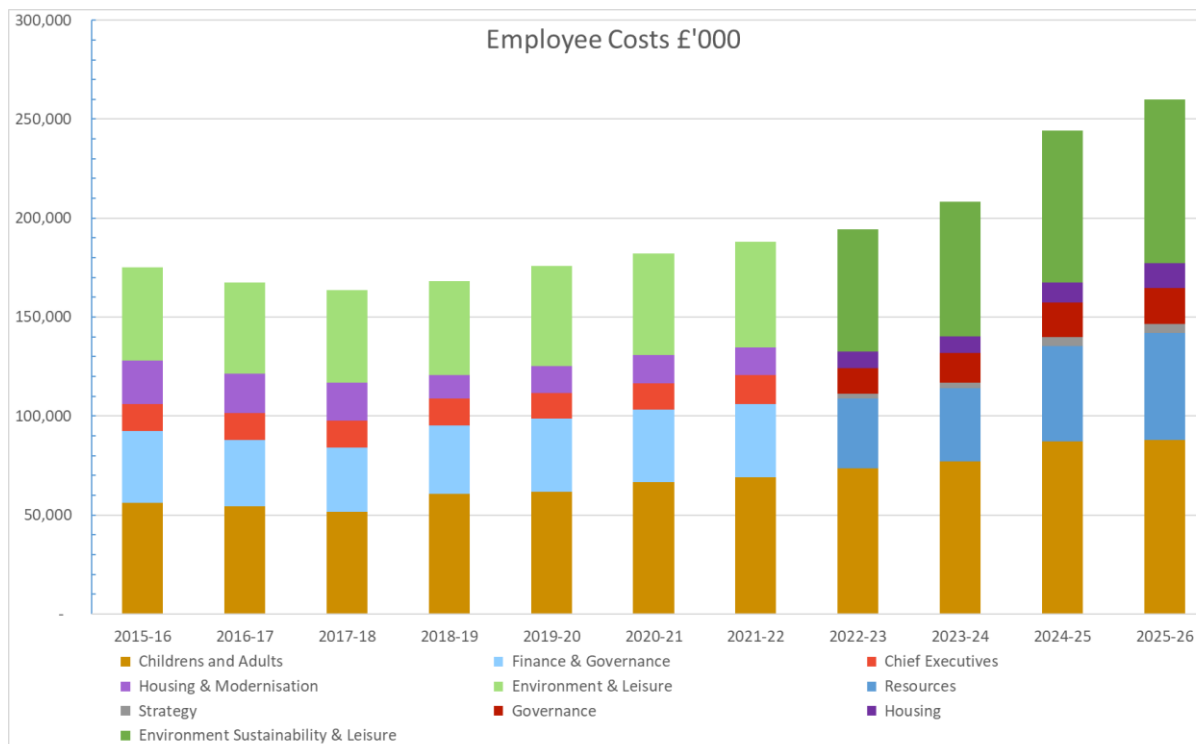
Expenditure: Cash change over 10 years of £228.811m (23%), Real terms change of -£128.379m (-13%)



Income: Cash change over 10 years of £145.899m (20%), real terms change over 10 years of -£105.647m (-15%)



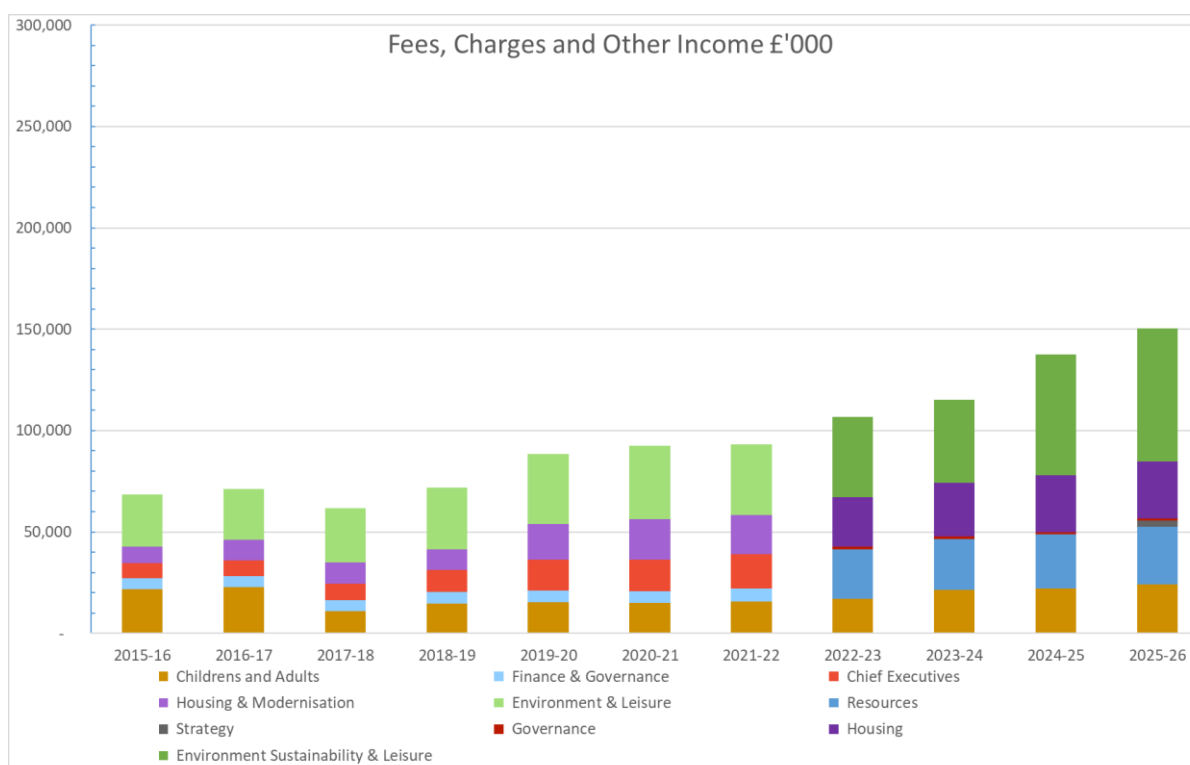
Net Expenditure: Cash change over 10 years of £82.912m (29%), Real terms change of -£22.732m (-8%)



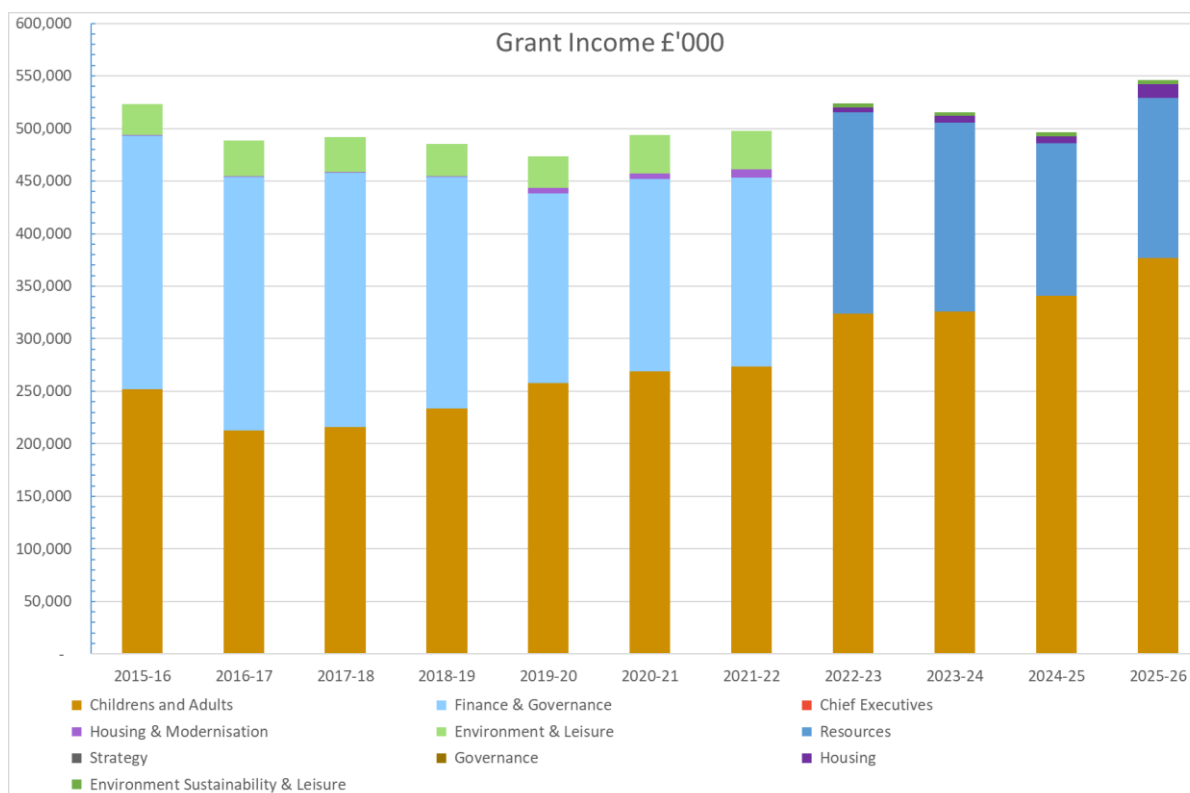
Employee Costs: Cash change over 10 years of £84.938m (48%), Real terms change of £9.801m (6%)

ESL increase in 2024-25 reflect insourcing of leisure services

Finance increase in 2024-25 reflects change in departments- (includes Planning and Growth, and IT)



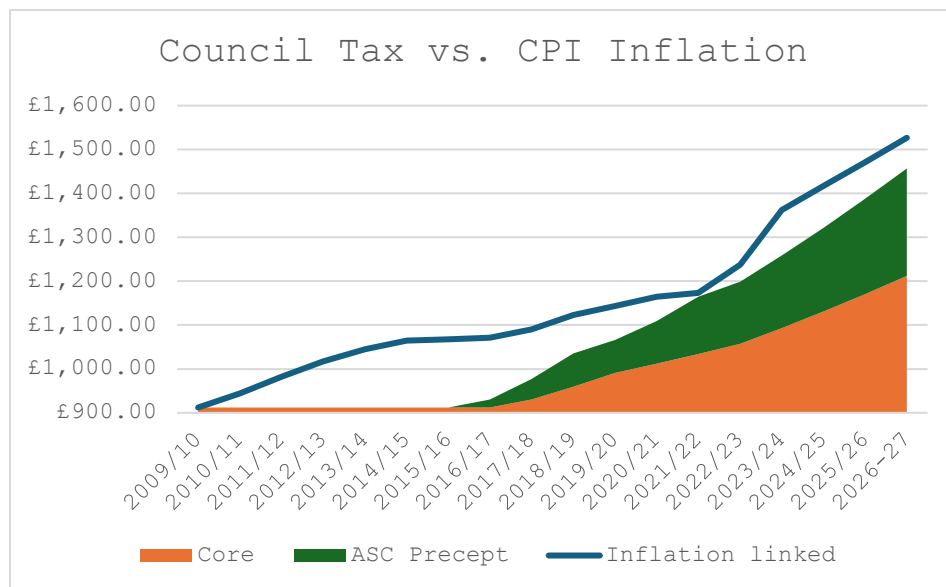
Fees, Charges & Other Inc: Cash change over 10 years of £81.905m (120%), Real terms change of £38.268m (56%)



Grant Income: Cash change over 10 years of £23.348m (4%), Real terms change over 10 years of -£133.725m (-26%)

Comparable table of London local authorities council tax collection rates

Authority	2023-24	2024-25	Change on previous year	Change since 2010/11
	% collected	% collected	% collected	% collected
Southwark	92.3%	93.6%	1.3%	0.9%
Redbridge	96.8%	95.9%	-0.8%	0.7%
Hounslow	97.3%	97.2%	-0.1%	0.6%
Greenwich	94.0%	94.5%	0.5%	0.2%
Haringey	95.2%	94.0%	-1.1%	0.1%
Kensington and Chelsea	97.4%	96.4%	-0.9%	0.0%
Wandsworth	97.7%	97.8%	0.1%	-0.1%
Barking and Dagenham	93.5%	92.7%	-0.8%	-0.2%
Ealing	96.3%	96.9%	0.5%	-0.3%
Sutton	98.3%	98.1%	-0.2%	-0.4%
Kingston upon Thames	98.6%	97.9%	-0.7%	-0.5%
Harrow	96.7%	96.5%	-0.2%	-0.5%
Richmond upon Thames	98.5%	98.4%	-0.1%	-0.5%
City of London	97.6%	98.8%	1.2%	-0.6%
Bromley	97.0%	96.9%	0.0%	-0.7%
Hillingdon	96.3%	96.3%	0.0%	-0.7%
Havering	96.3%	96.1%	-0.2%	-0.7%
Waltham Forest	95.2%	95.0%	-0.1%	-0.7%
Bexley	95.4%	95.1%	-0.3%	-0.9%
Hackney	88.8%	91.8%	3.0%	-1.2%
Merton	96.5%	96.0%	-0.5%	-1.2%
Lambeth	93.7%	93.3%	-0.4%	-1.3%
Croydon	94.6%	94.5%	-0.1%	-1.5%
Westminster	93.6%	94.5%	0.9%	-1.5%
Camden	94.1%	94.9%	0.8%	-1.6%
Barnet	94.5%	94.0%	-0.5%	-1.6%
Hammersmith and Fulham	93.7%	93.7%	0.0%	-1.8%
Islington	94.3%	93.7%	-0.6%	-1.8%
Newham	89.4%	89.9%	0.5%	-1.8%
Lewisham	92.2%	91.8%	-0.4%	-2.3%
Brent	92.2%	92.0%	-0.2%	-3.6%
Enfield	93.6%	91.9%	-1.6%	-3.8%
Tower Hamlets	92.1%	91.3%	-0.8%	-3.8%



- The above graph highlights that Southwark Council's level of council tax remains below inflation.

Comparative Business Rates and Council Tax Collection Rates

Non-domestic rates - collection rates 2016-17 to 2024-25									
	% collection rate								
	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25
England	98.2	98.4	98.3	98	98	95.5	96.76	97.2	97.3
Inner London Boroughs	98.6	98.8	98.6	98.3	98.3	93.2	95.99	97.1	97.4
Southwark	99.3	99.4	99.4	99.7	94.1	99	99.07	98.6	99.5

Council tax - in-year collection rates 2016-17 to 2024-25									
	% collection rate								
	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25
England	97.2	97.1	97	96.8	95.7	95.8	96.02	95.9	95.9
Inner London Boroughs	96	95.9	96	95.6	91.9	91.1	92.98	93.6	93.8
Southwark	95.9	95.5	95.9	95.4	92.9	91.9	92.93	92.3	93.6